# Investing Basics and Long-Term Growth

Investing means putting money to work so it can grow over time. Unlike a savings account, investments carry risk, but over long periods they have historically grown faster than inflation.

## Compound interest

Compound interest is the engine of long-term wealth. It is the process where the returns you earn themselves begin to earn returns. Because growth builds on previous growth, money invested early can outgrow much larger amounts invested later. This is why starting early, even with small contributions, is so powerful.

## Diversification

Diversification means spreading money across many different investments so that a poor result in one is offset by others. A diversified portfolio reduces risk without necessarily reducing expected long-term returns. The simple idea is to avoid putting all your eggs in one basket.

## Index funds

Index funds hold every stock in a market index, such as the S&P; 500, at very low cost. Because they track the whole market rather than trying to pick winners, they tend to outperform most actively managed funds over long horizons once fees are considered. For most beginners, low-cost broad index funds are a sensible core holding.

## Risk and return

Risk and return are linked. Assets with higher potential returns, such as stocks, also swing more in value, while bonds and cash are steadier but grow slowly. Your mix of assets should reflect your time horizon and how much short-term loss you can tolerate without panic-selling.

## Dollar-cost averaging

Dollar-cost averaging means investing a fixed amount at regular intervals regardless of price. It removes the temptation to time the market: you automatically buy more units when prices are low and fewer when prices are high, smoothing out volatility.

## Retirement accounts

Tax-advantaged retirement accounts (such as a 401(k) or IRA in the United States, or the CPF in Singapore) encourage long-term saving. Contributions may be tax-deferred or tax-free on withdrawal, and any employer matching is effectively free money you should not leave on the table.